extreme_picks

equity strategy | family: equity-baseline | status: validated

What this strategy does

Buy the top 10% of earnings surprises, short the bottom 10%, equal bets

Why it should work. Analysts and investors under-react to earnings news, so stocks with the most positive surprise keep drifting up and the most negative keep drifting down for weeks.

Design notes (from the strategy's source file).

Extreme Picks -- long the best earnings surprises, short the worst.

The textbook PEAD trade: long the best earnings-surprise decile (D10), short the worst (D1), every event equal-weighted, each held for the number of days its (decile x size x book-to-market) cell's alpha takes to decay (per-cell holding windows, not a fixed horizon).

parameter	value
base_unit_fraction	0.003
max_gross_leverage	1.5
liquidity_cap_frac	0.05
return_basis	mktadj
cap_mode	proportional
exposure_cap	open_book
beta_overlay	0.0

Performance

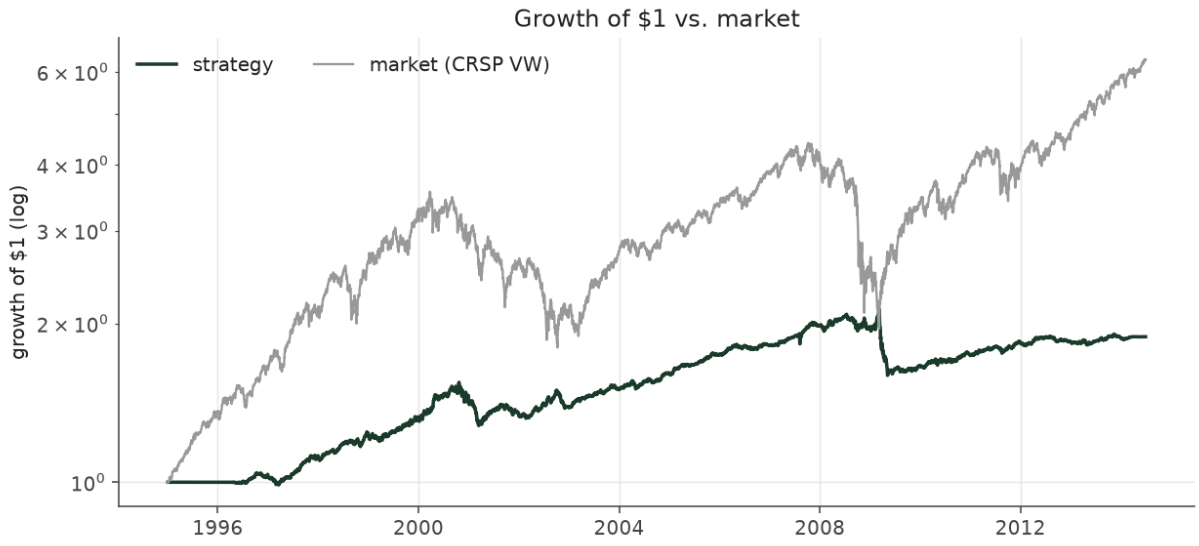
metric	extreme picks	market (CRSP VW)
Annualized return	3.31%	9.94%
Annualized volatility	5.24%	19.35%
Sharpe (NAV-pct)	0.65	0.59
Sortino	0.89	
Max drawdown	-25.2%	-55.5%
Calmar	0.13	
Final NAV ($10M start)	$18,873,209	
Worst day	-4.19%	
% positive days	50.5%	
Sharpe 1996-2001	0.86	
Sharpe 2002-2007	1.62	
Sharpe 2008-2013	-0.11	

Correlation of daily returns with the market: **-0.03**.

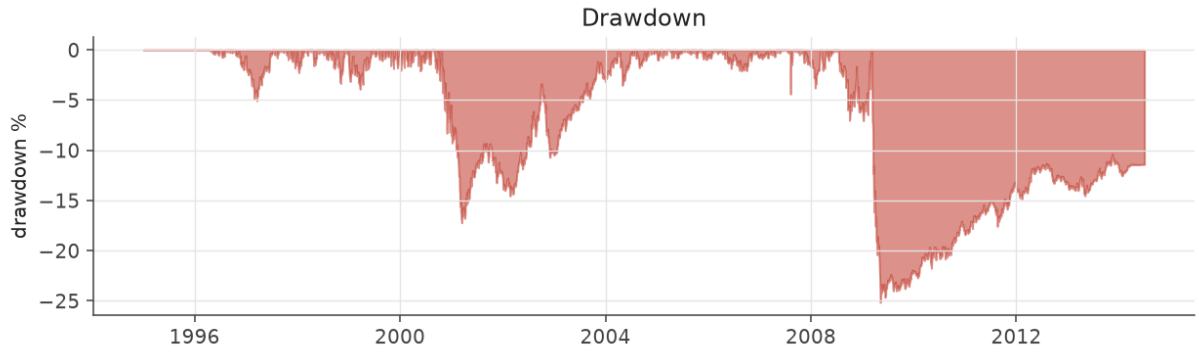
• best Sharpe among equity: `calm_rank_tilt` (1.81); this one: 0.648

• best return among equity: `market_boost_max` (0.15); this one: 0.0331

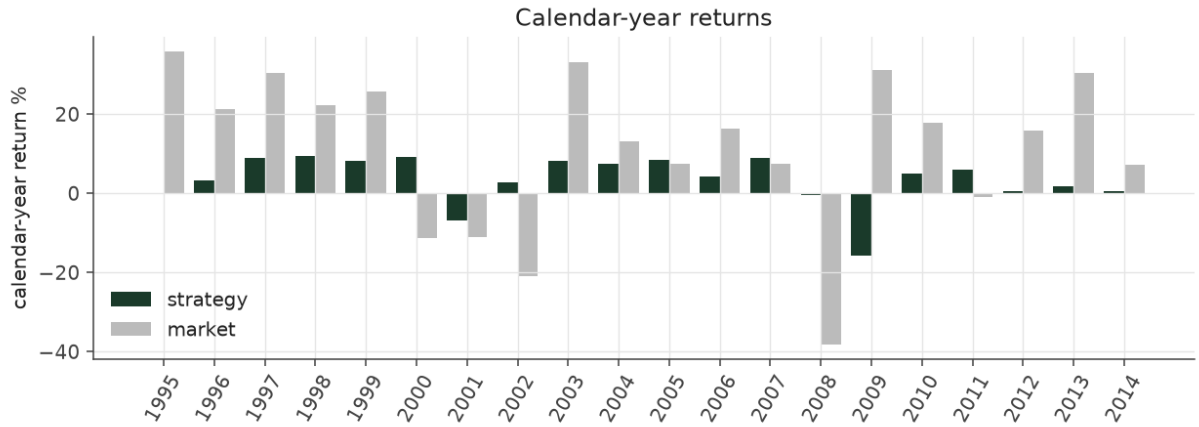
• best Calmar among equity: `calm_rank_tilt` (0.614); this one: 0.132



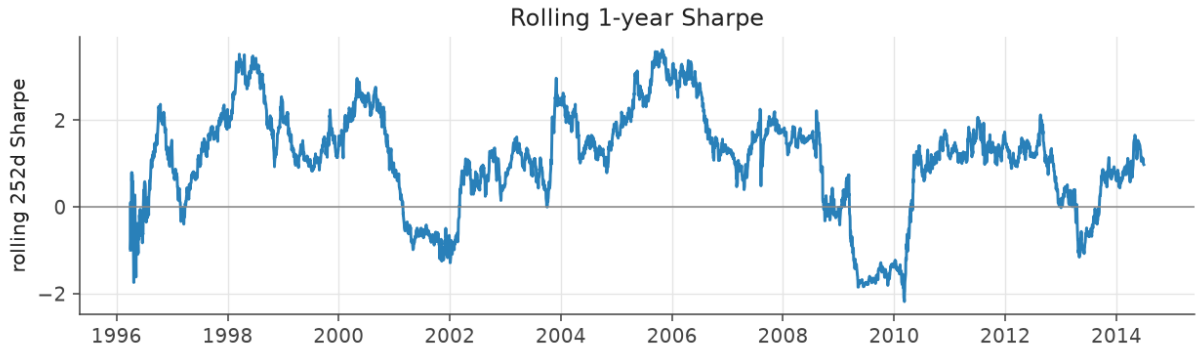
NAV (log scale)



Drawdown from running peak

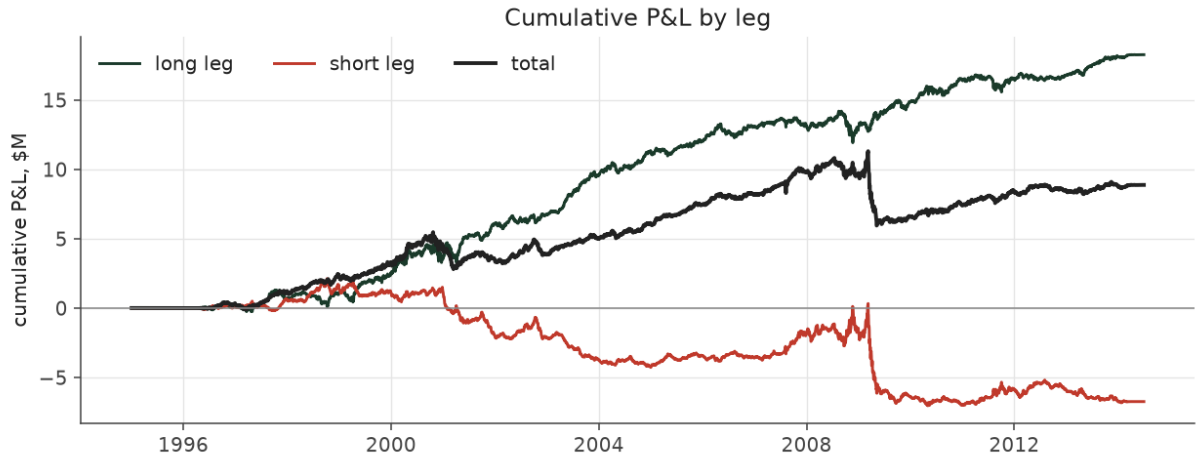


Calendar-year returns



Is the edge stable, or concentrated in a few years?

Where the return comes from



Long leg vs. short leg vs. total

	long leg	short leg
P&L ($M, before costs)	18.26	-6.74
P&L after costs ($M)	16.94	-8.07
of which common (average-event) component ($M)	10.68	-10.83
of which excess / PEAD component ($M)	7.58	4.08
excess minus costs ($M)	6.26	2.76
gross return per $ traded (bp)	259.72	-110.40
positions in the money (hit rate)	0.57	0.49
stand-alone Sharpe (leg only)	1.10	-0.37

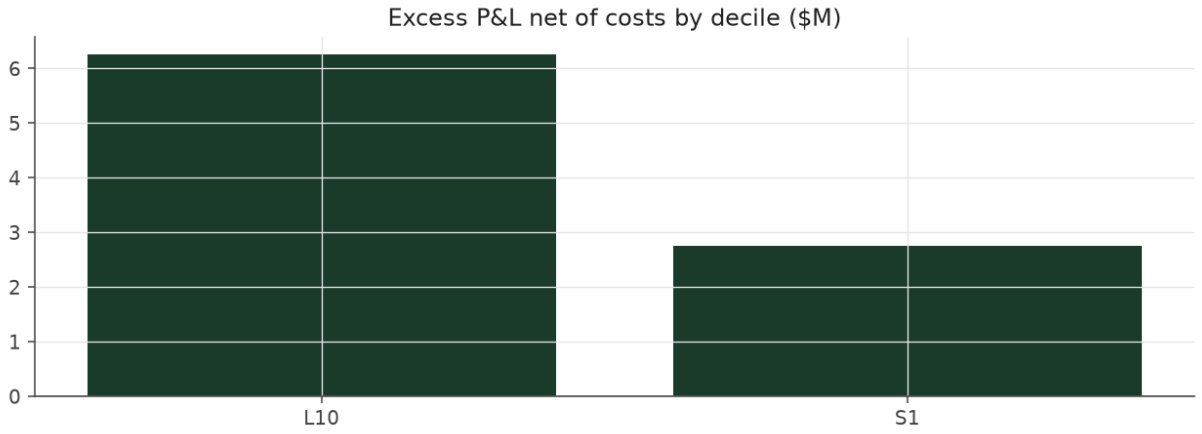
Daily P&L correlation between the two legs: **-0.59**.

• **The short leg loses money in absolute terms** (-6.7M before costs) while the long leg earns +18.3M. That is mostly a benchmark effect, not a signal failure: the average earnings-event stock beat the cap-weighted market during its holding window, which flatters the long leg and hurts the short leg by 10.7M / 10.8M. Stripping that common component, the surprise signal itself earned +7.6M on the long side and +4.1M on the short side.

• The two legs' daily P&L are -0.59 correlated: the short leg is the hedge that makes the long leg's variance disappear (stand-alone leg Sharpe 1.10 long / -0.37 short vs 0.65 combined).

By decile and side (signal-driven part only)

leg	decile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
long	10	20,136	703.05	16.94	7.58	1.32	6.26	69.4%	89.02
short	1	18,299	610.77	-8.07	4.08	1.33	2.76	30.6%	45.17



D10 and the short deciles carry the alpha; the middle of each leg earns little

By size quintile (1 = smallest)

size quintile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
1	5,287	112.82	-1.62	-0.46	0.42	-0.88	-9.8%	-78.22
2	7,872	269.28	2.27	3.68	0.74	2.94	32.6%	109.10
3	8,605	313.94	4.23	4.72	0.65	4.08	45.2%	129.86
4	8,744	324.40	2.06	2.15	0.50	1.64	18.2%	50.63
5	7,927	293.37	1.94	1.57	0.33	1.24	13.8%	42.36

By liquidity quintile (1 = least liquid)

liquidity quintile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
1	4,793	78.48	1.37	2.05	0.39	1.66	18.4%	210.88
2	7,905	279.44	0.15	1.84	0.84	1.00	11.1%	35.78
3	8,745	325.65	4.06	4.94	0.65	4.29	47.5%	131.65
4	8,837	328.31	1.26	1.45	0.46	0.99	10.9%	30.02
5	8,153	301.85	2.05	1.41	0.30	1.11	12.3%	36.63

By holding-window length

hold bucket	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
<=40d	7,482	265.13	0.72	4.39	0.52	3.87	42.9%	145.92
41-60d	11,345	365.13	-0.39	1.07	0.81	0.26	2.9%	7.14

61-90d	17,258	615.36	5.01	3.42	1.12	2.29	25.5%	37.30
>90d	2,350	68.20	3.54	2.78	0.18	2.59	28.7%	380.10

By era

era	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
1996-01	10,157	319.91	3.42	3.81	0.61	3.20	35.5%	99.96
2002-07	13,612	470.36	6.16	6.34	0.91	5.43	60.2%	115.41
2008-13	14,666	523.55	-0.70	1.51	1.12	0.39	4.3%	7.47

By FF12 sector

ff12 sector	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
BusEq	7,541	254.13	1.04	0.43	0.50	-0.07	-0.8%	-2.84
Chems	776	27.31	-0.08	0.01	0.05	-0.04	-0.5%	-16.63
Durbl	990	32.83	-0.03	0.18	0.07	0.11	1.3%	34.39
Enrgy	1,529	53.47	0.97	1.17	0.11	1.06	11.7%	197.76
Hlth	3,443	113.09	0.82	0.63	0.24	0.39	4.3%	34.48
Manuf	4,089	140.55	0.38	1.01	0.28	0.73	8.1%	52.18
Money	5,981	209.53	1.21	2.58	0.42	2.16	24.0%	103.19
NoDur	1,707	58.62	0.47	0.55	0.11	0.43	4.8%	73.99
Other	5,674	192.78	2.12	2.57	0.42	2.15	23.9%	111.59
Shops	3,935	133.71	1.53	1.81	0.26	1.54	17.1%	115.32
Telcm	1,293	44.51	0.25	0.44	0.09	0.35	3.9%	79.13
Utils	1,477	53.28	0.18	0.29	0.09	0.20	2.2%	37.50

By idiosyncratic-volatility tercile

vol tercile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
high vol	12,942	445.05	-0.80	0.44	0.80	-0.36	-4.0%	-8.14
low vol	12,792	432.76	5.51	6.30	0.96	5.34	59.2%	123.41
mid vol	12,052	414.88	3.88	4.67	0.83	3.83	42.5%	92.44

Short-borrow sensitivity (not modeled in the backtest)

borrow rate	fee M	ann. return	drag
0.0%	0.0	3.31%	-0.00%
0.5%	0.6	3.13%	0.18%
1.0%	1.3	2.94%	0.37%
2.0%	2.5	2.55%	0.77%
5.0%	6.4	1.15%	2.16%

The engine charges the same transaction cost on shorts as on longs and no stock-borrow fee. The short leg is concentrated in small, illiquid names, where borrow is scarce and expensive -- read the table as a floor on the cost of running the short leg.